

IMARTICUS LEARNING

ALTERNATIVE INVESTMENTS
HEDGE FUNDS - VC & PE FUNDS



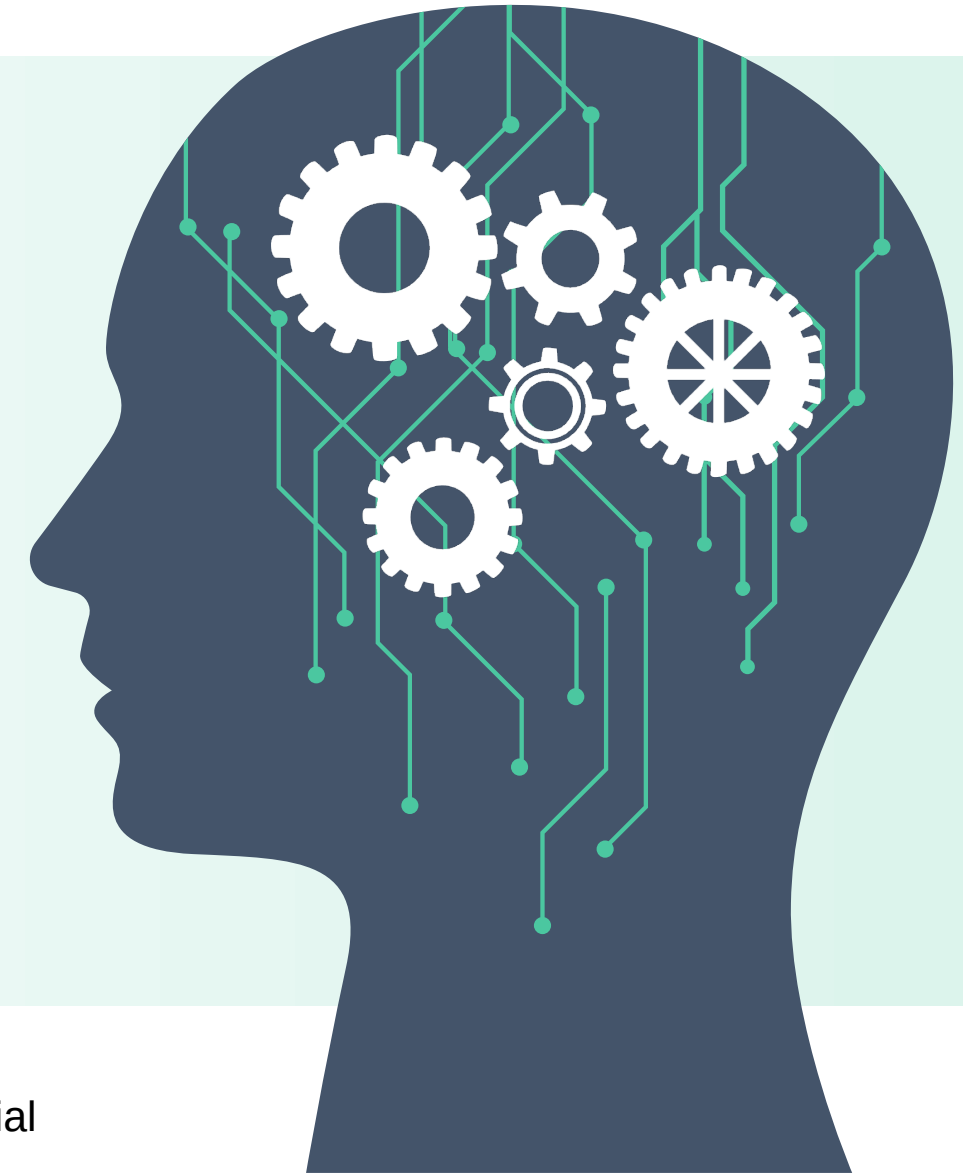
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YOU ARE GOING TO LEARN…

- Introduction to Alternative Investments
- Hedge Funds - Features
- Hedge Fund Investors
- Types of Hedge Funds
- Hedge Fund Fee Structure
- Venture Capital Funds - Features
- Private Equity Funds - Features
- Private Equity Funds Life Cycle



What are Alternative Investments?

Alternative Investments

Alternative investments are sophisticated investments that carry different risks to traditional investments, such as shares and property.

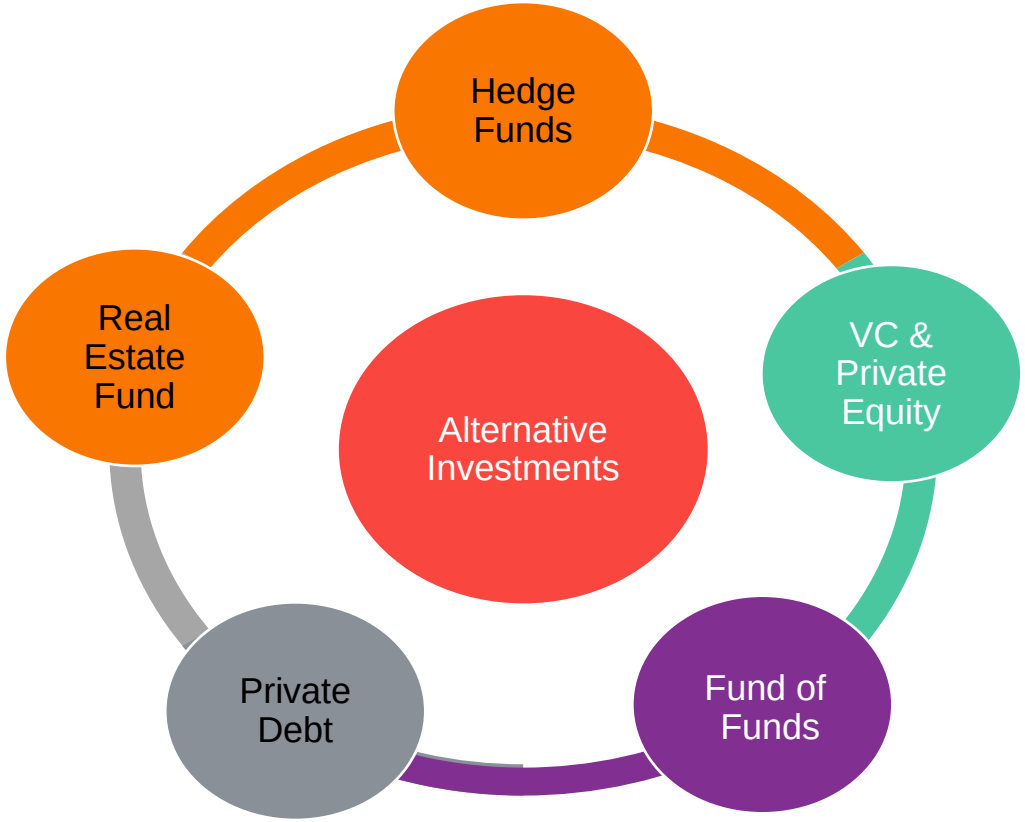
Alternatives refer to investments that fall outside of the traditional funds, like mutual funds.



Private and Confidential

Alternative Investments

- More complex and less number of funds
- Assets such as private equity, private credit, infrastructure, and private real estate
- Hedge funds, the second type, operate mainly in public markets but use less traditional tools such as short-selling and leverage. Hedge Fund uses multiple assets classes and derivative products to invest. Type of strategy used as Leverage, Quant, Long and Short Equity, etc.



HEDGE FUNDS

A hedge fund popularly called as rich people's mutual fund is a limited partnership /pool of private investors whose money is managed by professional fund managers on discretionary basis to achieve an investment goal/objective .

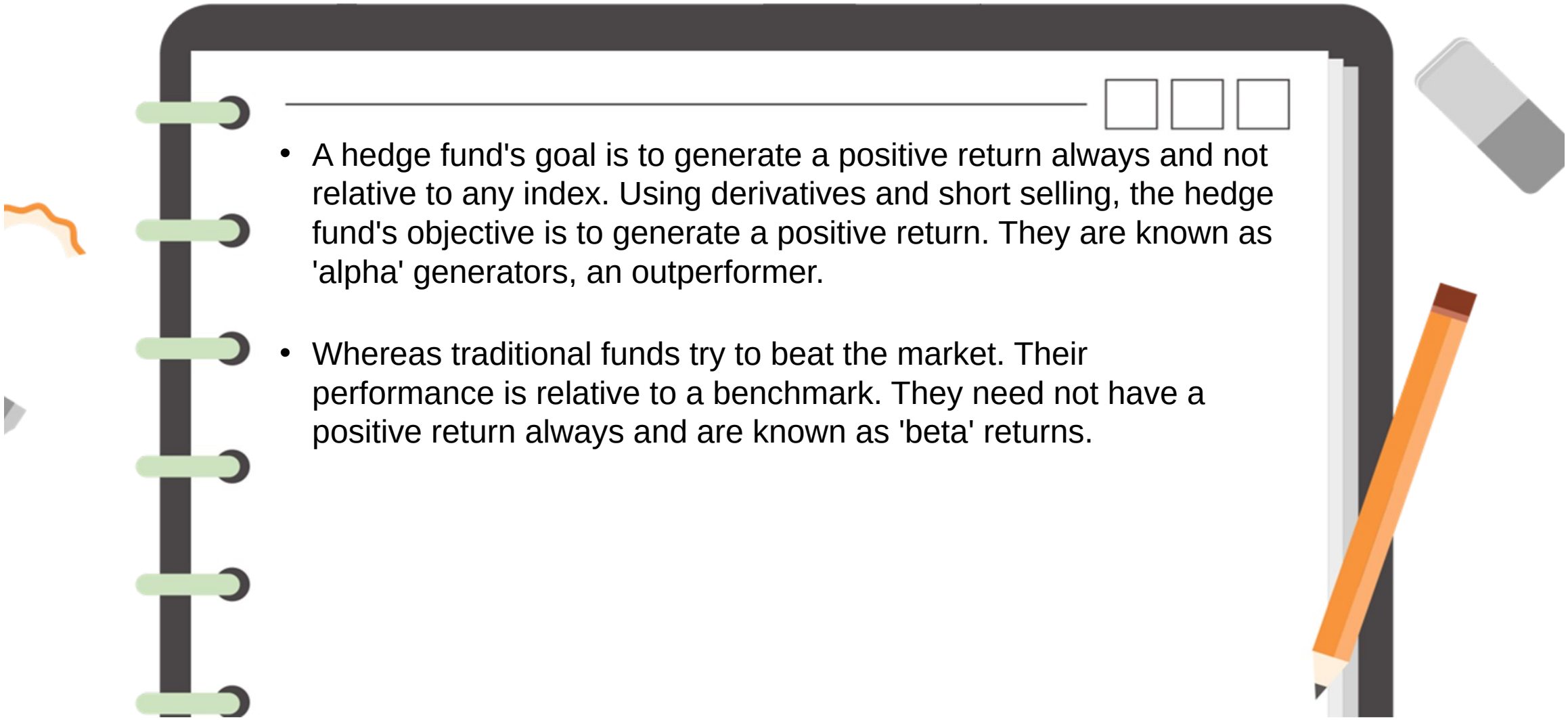
Features of a Hedge Fund

- Hedge fund investment is often considered a risky alternative investment choice and usually requires a high minimum investment .
- Hedge fund investment requires a high minimum investment or net worth from accredited investors.
- Hedge funds charge higher fees than conventional investment funds
- Hedge Funds are often structured as Open-ended funds with a Lock In Period.
- Hedge funds are either least /Not Regulated,
- Hedge Fund Structure Can Be Partnership, Unitized or Limited Company by Shares

HEDGE FUNDS

- Hedge funds are actively managed alternative investments that commonly use risky investment strategies.
- who use a wide range of strategies, including leveraging or trading of non-traditional assets, to earn above-average investment returns.
- A hedge fund is a type of alternatives which provide for diversification of investments by investing and trading in all type of financial instruments, including those which are not normally permitted for traditional funds.
- It is a fund that helps meet financial goals and obligations.
- Investment in hedge funds is not open to all public. They are private and unregistered investment pools. Hence, there is no need to register under the federal securities laws.

HEDGE FUNDS

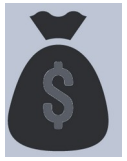


- A hedge fund's goal is to generate a positive return always and not relative to any index. Using derivatives and short selling, the hedge fund's objective is to generate a positive return. They are known as 'alpha' generators, an outperformer.

- Whereas traditional funds try to beat the market. Their performance is relative to a benchmark. They need not have a positive return always and are known as 'beta' returns.

HEDGE FUNDS – HISTORY

The term 'hedge fund' has been used to describe private, professionally managed investment funds since 1949.



Short Selling +
Leverage +
Incentive Fees



Alfred Winslow Jones



Undervalue
d Securities

Sociologist Alfred Winslow Jones, writing on assignment for Fortune, bought undervalued securities and shorted other stocks as a 'market neutral' approach to investing. By combining short selling, leverage, and incentive fees in combination, Jones was able to deliver solid returns while minimizing risk. His innovative approach created the first hedge fund. He described the investment vehicle as 'Hedged Fund', the 'd' got dropped later.

HEDGE FUNDS – HISTORY

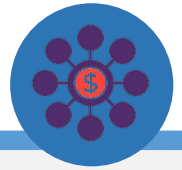
1

The origination of hedge funds is traced back to 1949 when the Sociologist Alfred Winslow Jones propagated a new approach for investing in the marketplace, which he termed as a 'Market Neutral' approach.

2

Since this approach had minimal risk but delivered higher returns, he called the investment 'Hedged Fund', the 'd' got dropped later and the name Hedge Fund remained for non-traditional investments.

HEDGE FUNDS – FEATURES



A Fund that helps diversify investments.



A fund that helps meet financial goals and obligations.



Private and unregistered investment pools



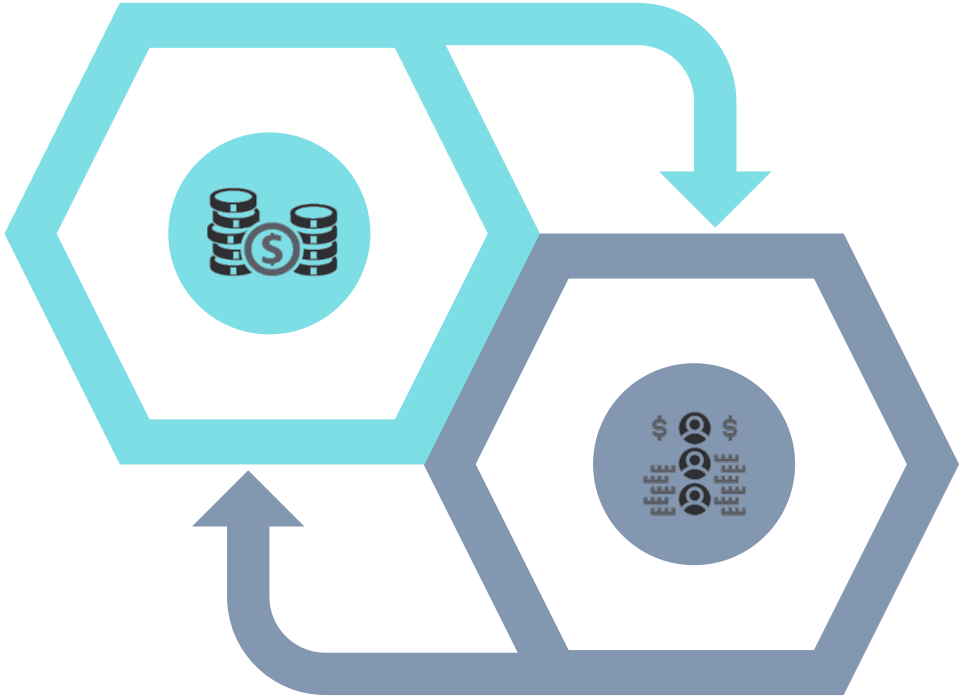
Investment and traded assets include all financial instruments and activities



Not required to register under the federal securities laws

HEDGE FUNDS – ABSOLUTE RETURNS

- A hedge fund's goal is to generate a positive return always.
- Not relative to any index
- Using derivatives and short selling, the hedge fund's objective is to generate a positive return.
- Seen as 'alpha' generators – an outperformer



- Traditional mutual funds try to beat the market
- Performance is always compared with a benchmark, even if the index is negative
- Known beta returns – relative to a benchmark

HEDGE FUND STRATEGIES

- Hedge funds are financial partnerships that use pooled funds and employ different strategies to earn active returns for their investors.
- These funds may be managed aggressively or make use of derivatives and leverage to generate higher returns.
- Hedge fund strategies include long-short equity, market neutral, volatility arbitrage, and merger arbitrage.
- They are generally only accessible to accredited investors. An accredited investor is a person or entity that is allowed to invest in securities that are not registered with the Securities and Exchange Commission (SEC).
- To be an accredited investor, an individual or entity must meet certain income and net worth guidelines.

Hedge Funds Strategies



Hedge Funds Strategies

Market Trend (Directional / Tactical) Strategies

- Global Macro
- Managed Futures
- Emerging Markets
- Equity Long/short
- Commodity Long/Short
- Short Bias
- Quantitative

Event-Driven Strategies

- Distressed Securities
- Merger/Demerger

Arbitrage Strategies

- Market Neutral
- Convertible Arbitrage
- Fixed Income Arbitrage
- Equity Arbitrage

TOP GLOBAL HEDGE FUNDS

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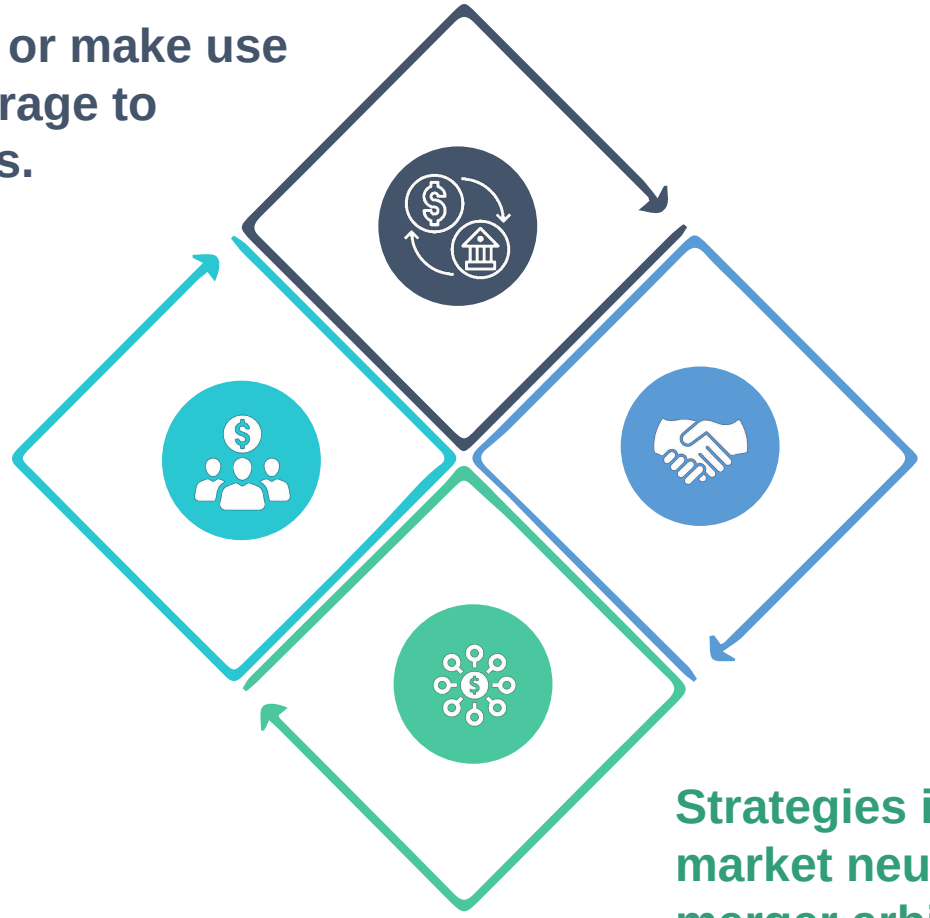
Rank	Firm	Headquarters	AUM as of June 2025 (millions of USD)
1	Bridgewater Associates	Westport, CT	$78,000
2	Millennium Management, LLC	New York, NY	$77,518
3	Elliott Investment Management	West Palm Beach, FL	$76,100
4	Citadel LLC	Miami, FL	$67,586
5	Man Group	London, UK	$66,500
6	D. E. Shaw & Co.	New York, NY	$60,417
7	AQR Capital	Greenwich, CT	$51,000
8	Two Sigma	New York, NY	$51,000
9	Goldman Sachs Asset Management	New York, NY	$48,000
10	Renaissance Technologies	East Setauket, NY	$46,000
11	Marshall Wace	London, UK	$36,795
12	Wellington Management Group	Boston, MA	$36,421
13	Davidson Kempner Capital Management	New York, NY	$35,140
14	Capula Investment Management	London, UK	$31,900
15	Brevan Howard	St Helier, Jersey	$31,224

HEDGE FUNDS

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Managed aggressively or make use of derivatives and leverage to generate higher returns.

Generally, only accessible to accredited investors



Financial partnerships that use pooled funds and employ different strategies to earn active returns for their investors.

Strategies include long-short equity, market neutral, volatility arbitrage, and merger arbitrage

LIMITED PARTNERSHIP MODEL

- In the limited partnership model, the general partner is responsible for selecting the service providers that perform the operations of the fund.
- Limited partners can make investments in the partnership and are liable only for that amount.
- The second element of the two-tiered structure is the arrangement of the general partnership.
- General partners typically use a limited liability company structure.
- The general partner's responsibility is to select service providers to market and manage the fund as well as perform any functions necessary in the normal course of business.

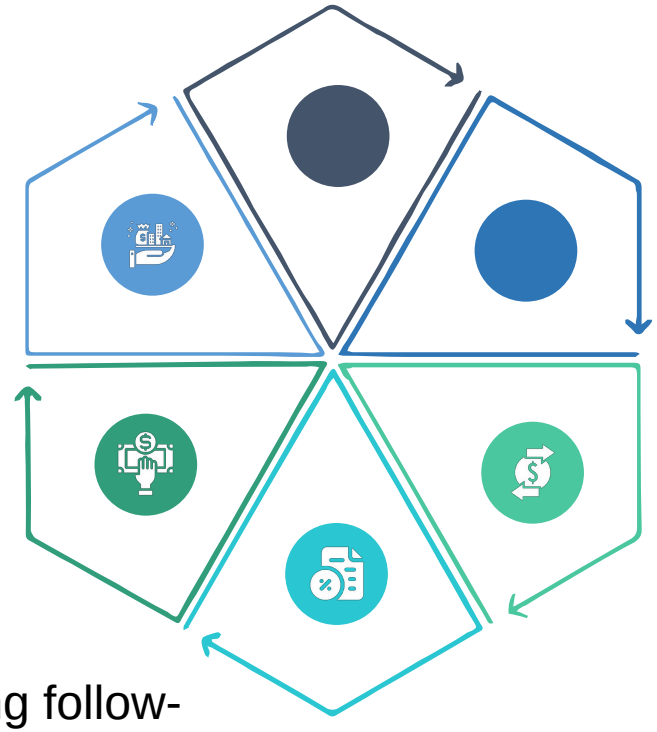


ROLE OF GENERAL PARTNERS

A hedge fund's general partners are the founders and money managers of the fund

Form the fund

Managing Fund Operations & building the team



Control the fund's investment strategy

Reporting the fund's performance

Maximizing the value of the portfolio

Making follow-on investments.

In exchange for their control, general partners take on unlimited liability in the fund, which means that their personal assets are at stake if the fund's liabilities exceed its assets

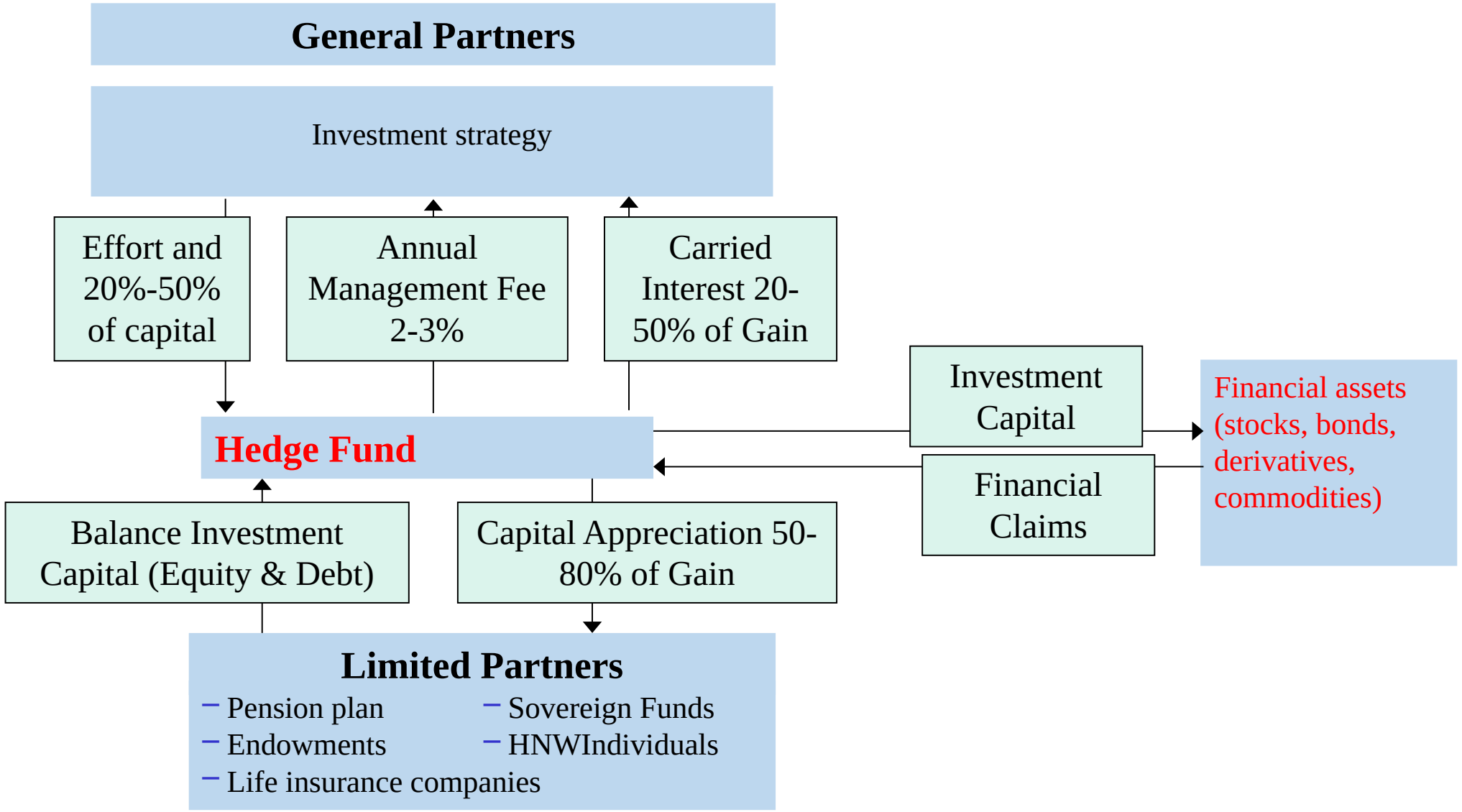
LIMITED PARTNERSHIP MODEL – HEDGE FUNDS

1. Hedge funds offer qualified investors a range of unique investment strategies.

2. Hedge funds' investor base has evolved significantly over the years, with 64 percent of U.S. industry assets currently held by institutional investors like pensions, endowments, and foundations.

3. Most U.S. hedge funds are created as limited partnerships between the fund manager and investors

Organizational Structure of Hedge Funds





Hedge Funds - Investors

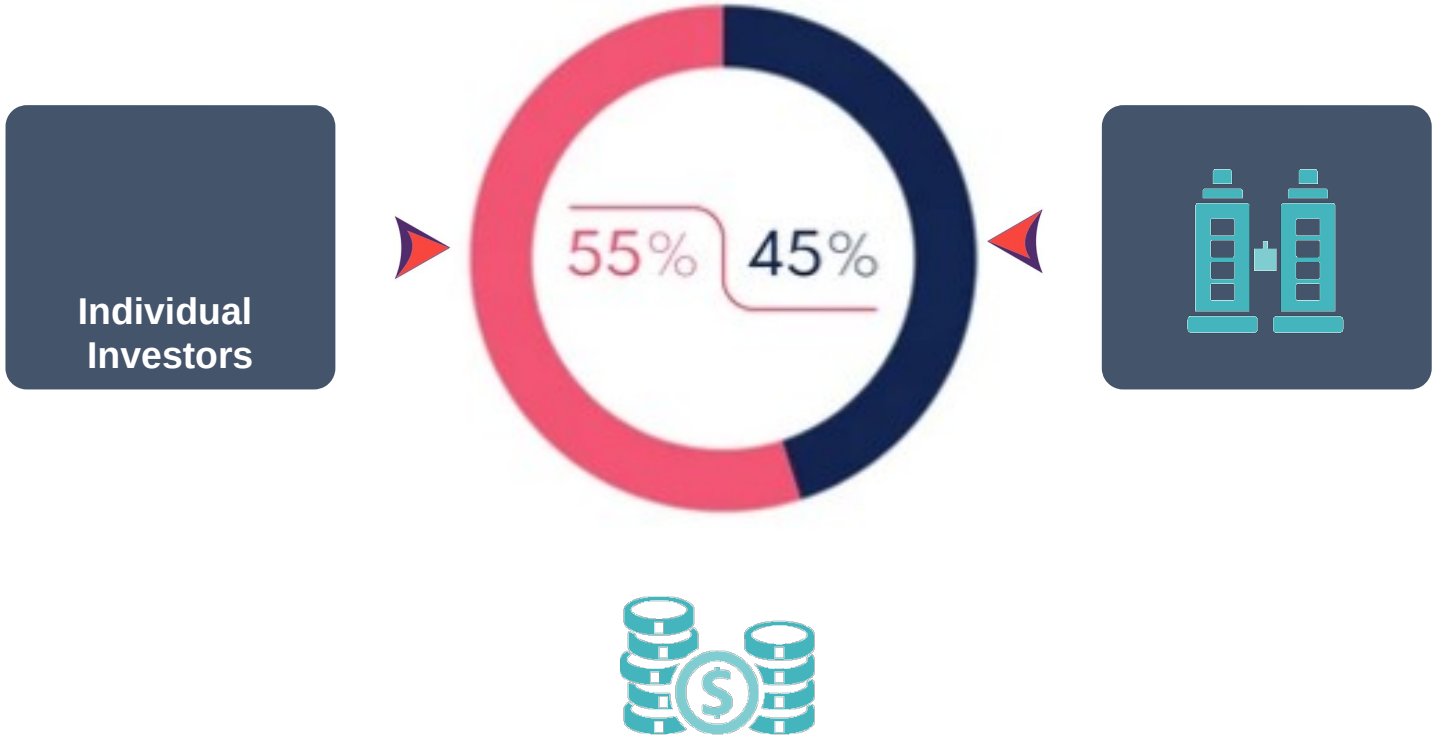
HEDGE FUNDS – INVESTORS

U.S. regulations limit hedge fund participants to 'accredited investors' or 'qualified purchasers.'

- Hedge Fund Regulation: Investor Restrictions
- Hedge funds are restricted in the nature of their sales or offerings.
- private offering requirements set forth in the Securities Act of 1933, hedge funds generally must restrict their selling to entities or individuals the SEC defines as an “accredited investor.”
- Investors must meet certain income and net worth requirements to invest in a hedge fund.
- Generally, only 'accredited investors' can invest in these funds due to government regulations.



HEDGE FUNDS – INVESTORS



About 45 percent of global hedge fund assets come from **Institutional Investors** such as pension funds, university, and non-profit endowments:

- **Public Pension Plans**
- **Private Pension Plans**
- **Sovereign Wealth funds**
- **Endowment Plans and Foundations**

Source: 2018 Preqin Global Hedge Fund Report

HEDGE FUNDS – INVESTORS

Accredited investors can be either an individual or an entity.

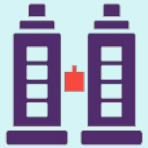
Accredited Investors

Individual



Individuals with investments over $5 million; or net worth of at least $1 million; or an income of at least $200,000 or more annually

Entity



Institutions with total assets over $5 million; or no less than $25 million in investments or investable assets

ACCREDITED INVESTORS

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Accredited investors include:

1. Groups such as charities, organizations, corporations, etc. with total assets in excess of $5 million
2. Banks, insurance companies and investments firms
3. Employee benefit plans like corporate pension plans with assets in excess of $5 million
4. An individual whose net worth, or joint net worth with their spouse, exceeds $1 million – excluding their primary residence – at the time of the purchase
5. Individuals with a yearly income of $200,000 or more for the last two years or a joint income with their spouse exceeding $300,000 for those years, as well as a reasonable expectation of the same income level for the current year

QUALIFIED PURCHASERS

Qualified purchasers include:

1. Any natural person (including any person who holds a joint, community property, or other similar shared ownership interest in an issuer that is excepted under section 3(c)(7) with that person's qualified purchaser spouse) who owns not less than $5,000,000 in investments, as defined by the Commission

2. Any company or trust that owns not less than $5,000,000 in investments

3. Any person, acting for its own account or the accounts of other qualified purchasers, who in the aggregate owns and invests on a discretionary basis, not less than $25,000,000 in investments

4. Nearly half of the investors in hedge funds are institutional investors and the rest are individual investors.

HEDGE FUNDS INVESTORS – ENTITY

Investors who invest in Hedge funds could also be an Entity.

The Entity Could be

- An Institutional investor like
  - Pension fund
  - Another hedge fund strategy – Fund of funds
  - Insurance company
  - IRA
  - Sovereign wealth Fund etc.
- A corporate
- Limited partnership company
- Non profit organisation



HEDGE FUNDS INVESTORS – ENTITY

Pension Fund

- A pool of money that is to be paid out as a pension when employees retire.
- Typically aggregate large sums of money to be invested into the markets
- Represents an institutional investor

Fund of Fund

- A pooled fund that invests in other funds

IRA

- An individual retirement account (IRA) is a savings account with tax advantages that individuals can use to save and invest long-term.

HEDGE FUNDS INVESTORS – ENTITY

Sovereign Wealth Fund (SWF)

- An investment fund which is primarily owned by the National Government
- Comprises of money generated by the government, often derived from a country's surplus reserves

Non-Profit Organisation

- A legal entity organized and operated for a collective, public or social benefit
- Revenues earned by a non-profit organization are mainly from donations
- Mostly tax exempt entity in many countries.

Corporate

- A legal entity created by individuals, stockholders, or shareholders
- Created by a single shareholder or by multiple shareholders who come together to pursue a common goal.
- A corporate can be formed as a for-profit or a not-for-profit entity

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Types of Hedge Funds

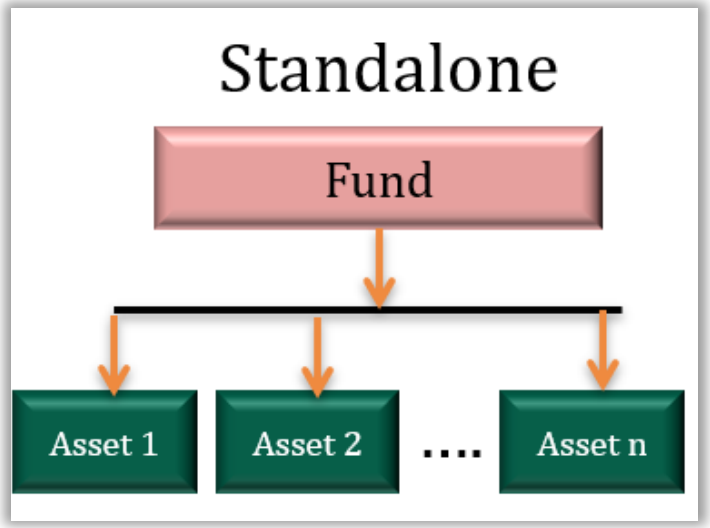


Standalone Hedge Fund

A stand-alone hedge fund is setup as a Limited Liability Company (LLC) acting as the General Partner (GP) in the state in which the GP is located.

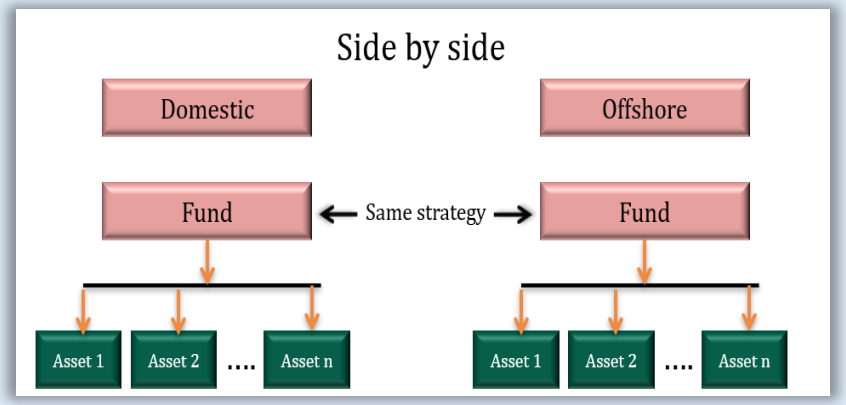
Standalone fund structures invest without ‘feeding’ into, or investing alongside, another vehicle.

This is the most common structure for offshore managers with no US presence which expect to gear the fund predominantly toward non-US investors (Standalone offshore) or only to US tax-exempt investors (Standalone Domestic).

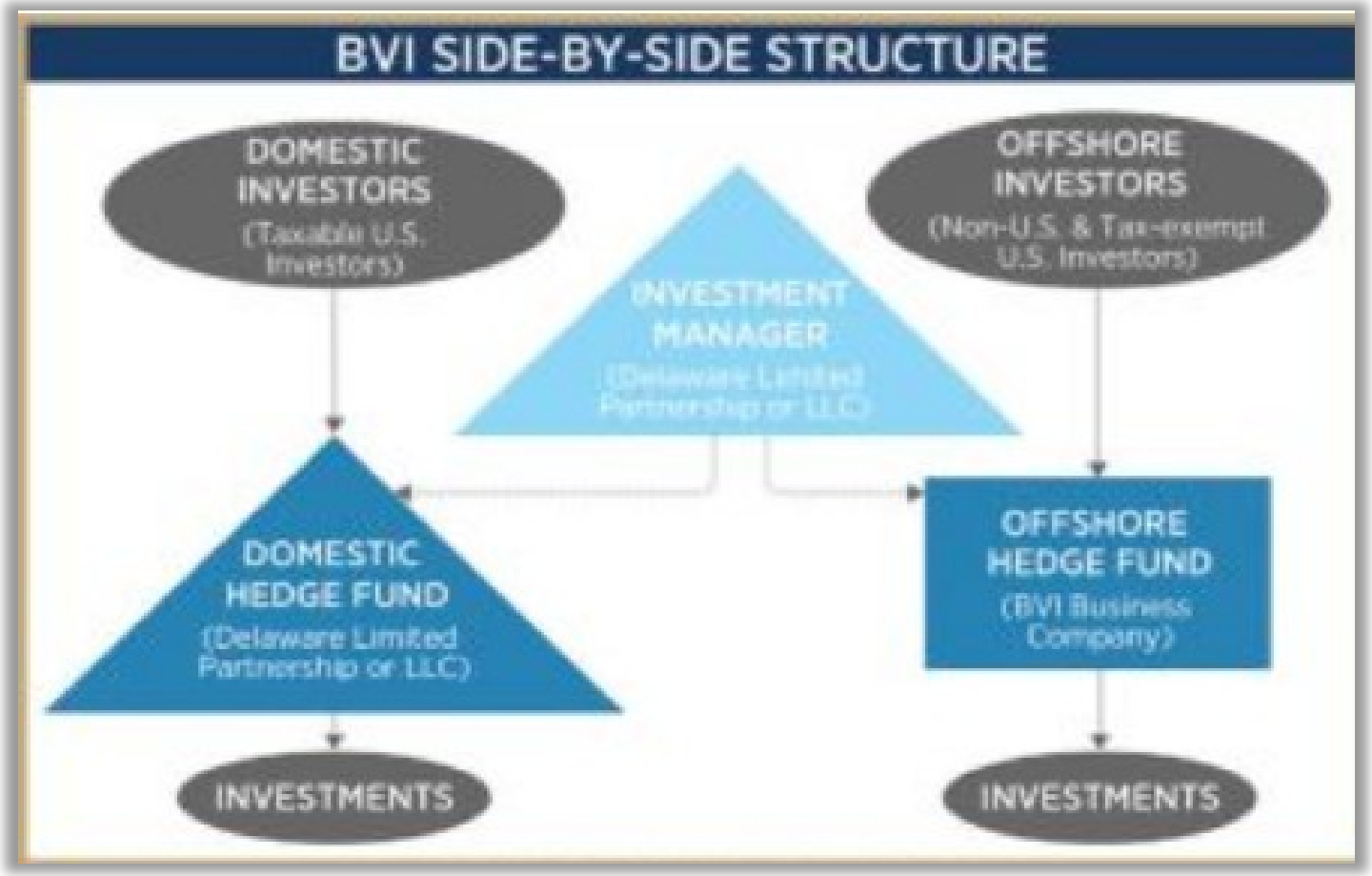


Side-by-side Hedge Fund

- In a side-by-side domestic structure, US investors typically invest in a limited partnership organized in the US.
- This fund runs parallel to an offshore structure which follows the same strategy as the domestic fund.
- Fund manager must allocate trades to both its domestic fund and offshore fund - while trying to achieve equivalent performance returns in both funds
- Side-by-side fund structures are used by investment managers who desire to run two separate funds – one domestic and the other offshore – in an identical manner. This structure is used for specific types of investment strategies such as fund of funds, but is generally inefficient for more active trading strategies because of the administrative burden of splitting trade tickets between two funds.
- Side by Side Funds can also consist of 2 Domestic i.e. Onshore Funds



Side by Side Hedge Fund



HEDGE FUNDS – FUND STRUCTURES

Master Feeder

- A master-feeder structure is commonly used by hedge funds to pool capital raised from US-taxable, US tax-exempt, and non-US investors into one central master fund
- The master fund is responsible for making investments and undertaking all trading activity, but with fees paid by investors at the feeder-fund level.
- Master-feeder structure enhances the critical mass of tradable assets and improves economies of scale for the fund, making operations more efficient
- Tradition Master Feeder Structure are OffShore Feeder, Onshore Feeder and Master Fund. Mostly getting investors directly into Master funds is restricted as the allocation of PNL will be very cumbersome

Feeder Fund

A feeder fund is a fund which pools investment capital and invests it into a master fund. The master fund invests in the market.

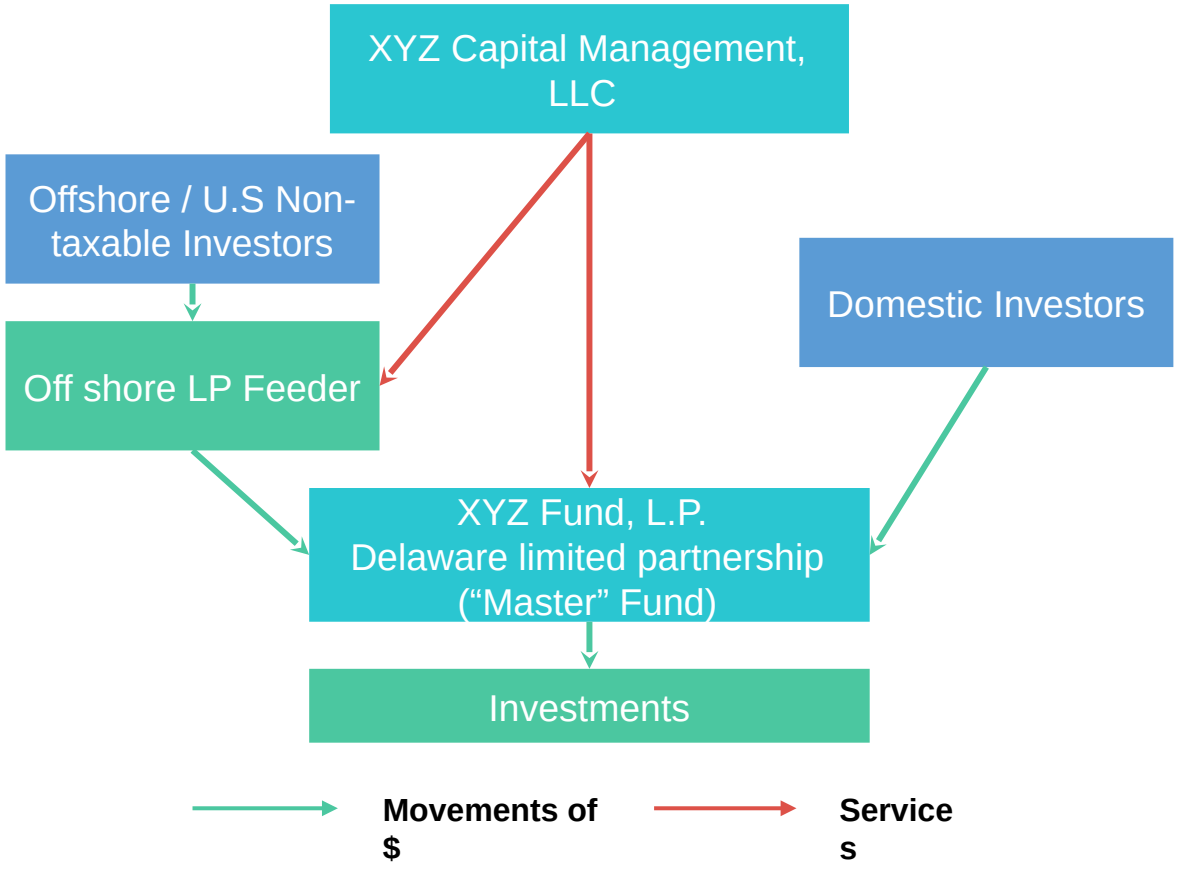
HEDGE FUNDS – FUND STRUCTURES

Master Fund

Three-entity mini-master structure with a management company, offshore feeder and domestic “master” fund.

Offshore investors place subscriptions in the feeder;
Domestic investors place subscriptions in the master.
The feeder also places its assets in the master fund.
The manager makes investments through the domestic master.

Master Feeder Fund Structure



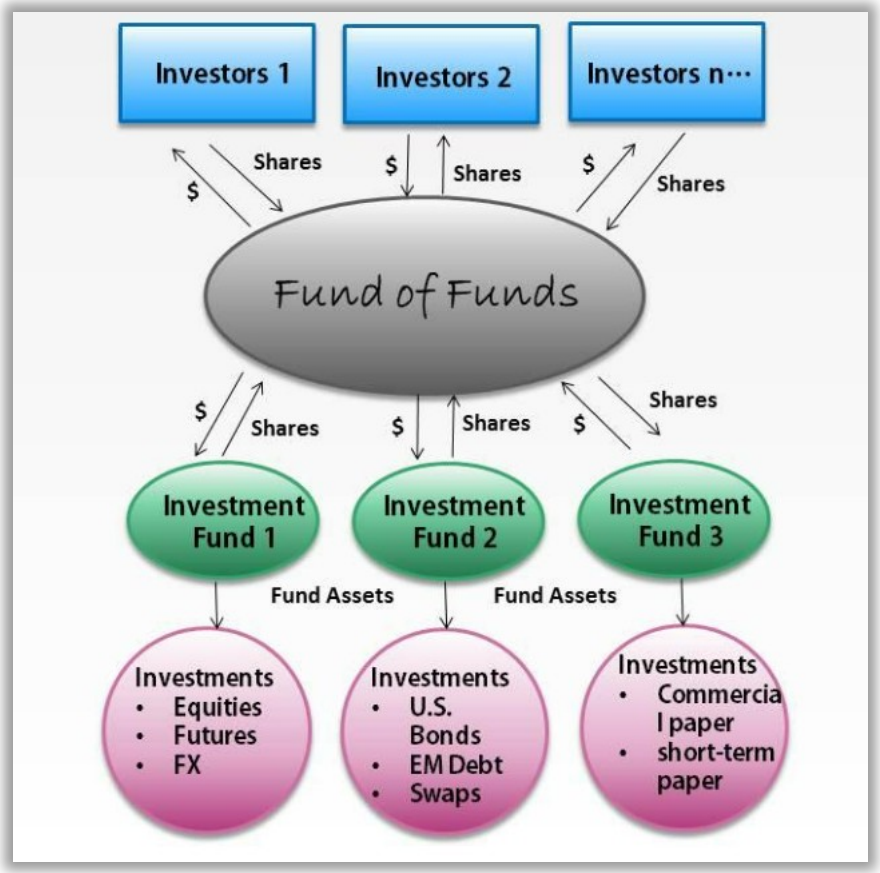
HEDGE FUNDS – FUND STRUCTURES

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1. Here we have a fairly traditional three-entity mini-master structure with a management company, offshore feeder and domestic “master” fund.
2. Offshore investors place subscriptions in the feeder; domestic investors place subscriptions in the master.
3. The feeder also places its assets in the master fund. The manager makes investments through the domestic master.
4. Withdrawals are processed in the opposite direction – funds are transferred from the master to the feeder and then transferred again to the withdrawing offshore investor.
5. In the case of a withdrawal by a domestic investor, the funds are transferred directly from the master as in a single domestic fund structure.

Fund of Funds Hedge Fund

- ‘Fund Of Funds’ (FOF) hedge funds adopts an investment strategy of holding a portfolio of other investment funds rather than investing directly in stocks, bonds or other securities.
- An FOF Scheme of a primarily invests in the units of another hedge funds. This type of investing is often referred to as multi-manager investment
- These schemes offer the investor an opportunity to diversify risk by spreading investments across multiple funds. The underlying investments for a FoF are the units of other hedge fund units from other hedge fund houses.



Commodity based Hedge Funds

Commodity Hedge Funds

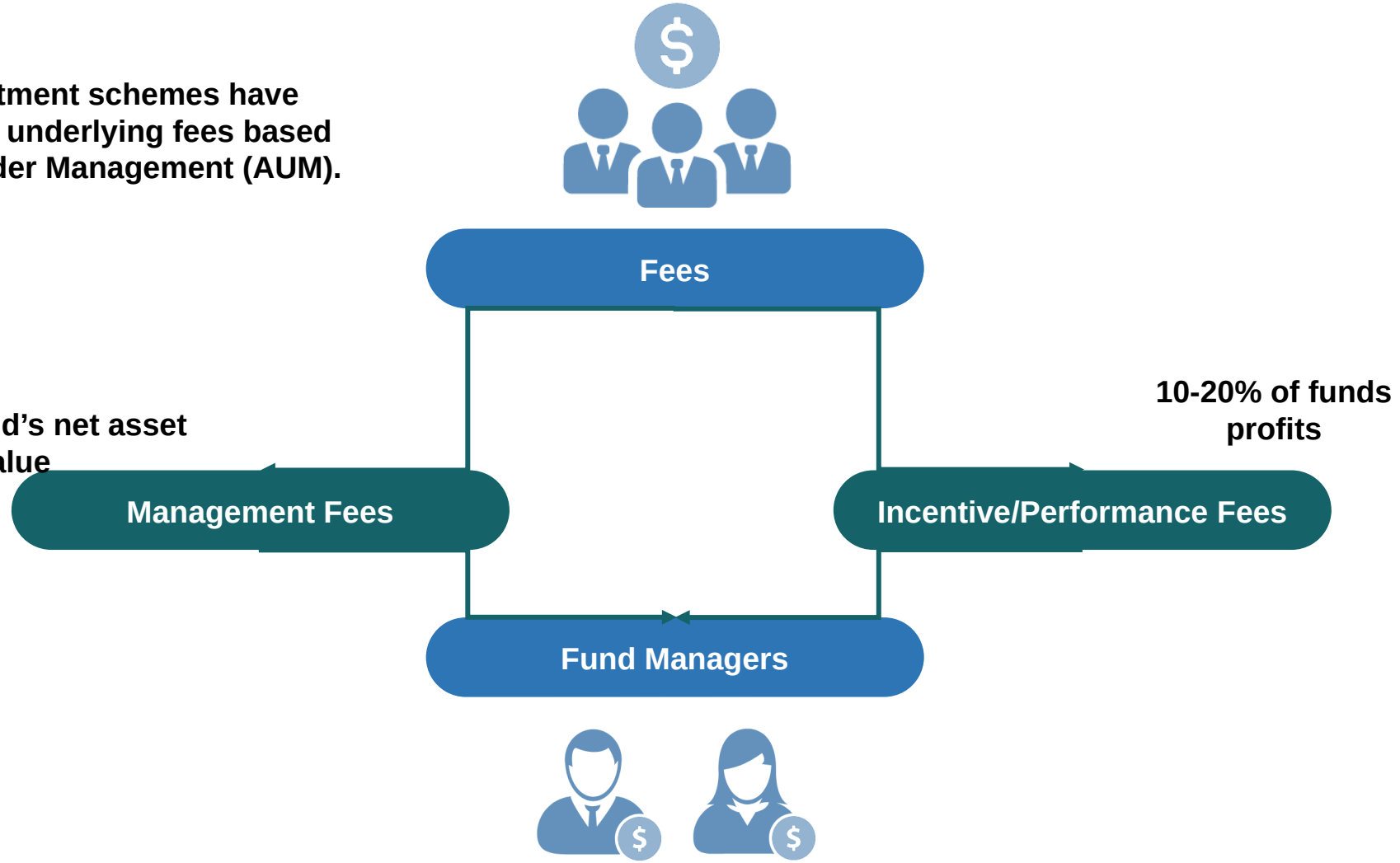
Commodity Funds	These funds have direct holdings in commodities, For example, a gold fund that holds gold bullion
Commodity Funds That Hold Futures	Holding commodity-linked derivative instruments, achieve this objective by purchasing a futures contract
Natural Resource Funds	Invest in companies that are engaged in businesses that operate in commodity-related fields, such as energy, mining, oil drilling, and agricultural businesses
Combination Funds	Invest in a combination of actual commodities and commodity futures



Hedge Funds Fees Structure

Hedge Funds – Fee Structure

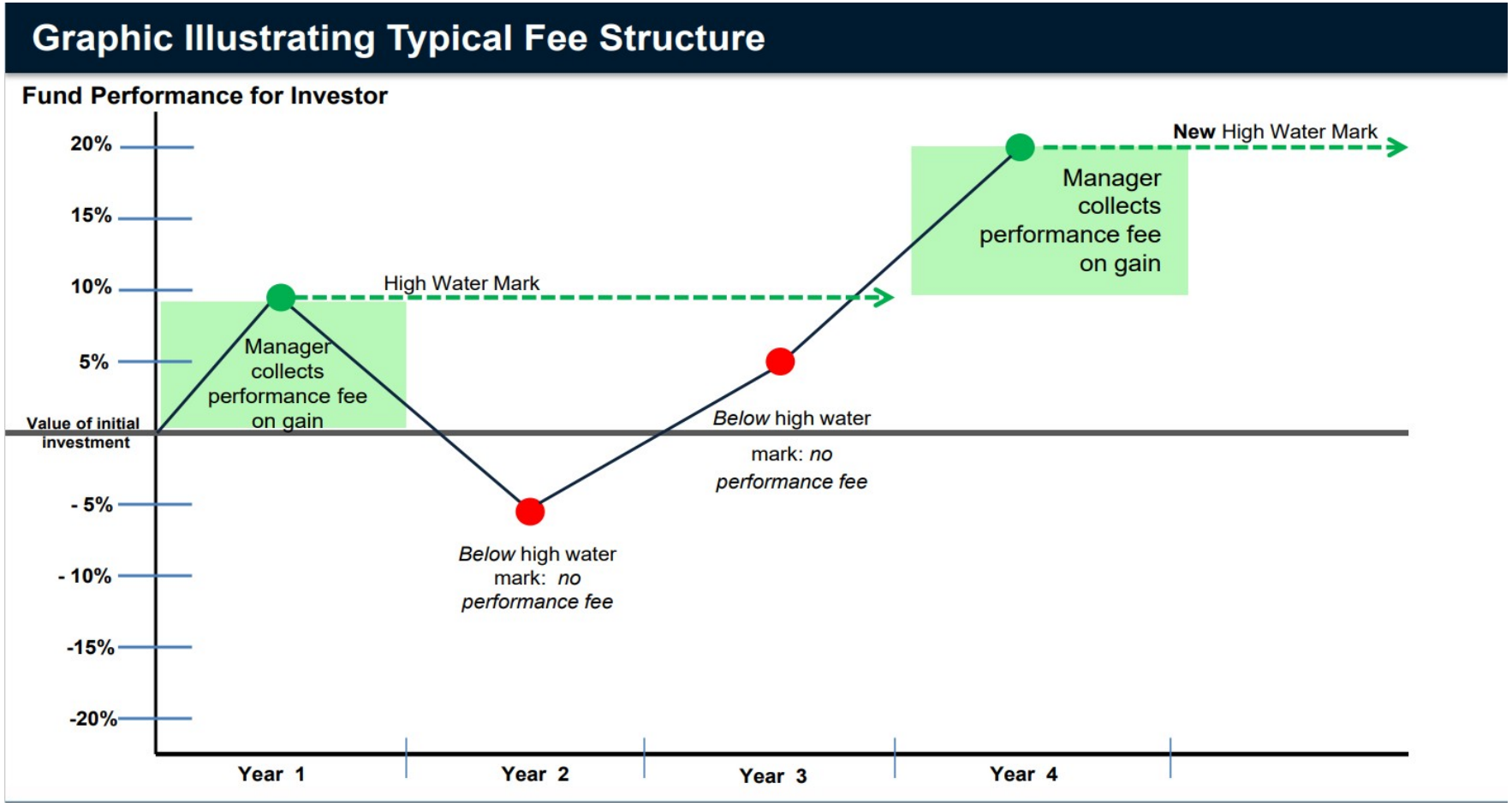
Most investment schemes have some form of underlying fees based on Assets Under Management (AUM).



HEDGE FUNDS

- In a hedge fund, the investors pay two types of fees to the hedge fund managers, namely management fee and incentive fee (also called performance fees).
- They typically charge a management fee of 1-2% of the fund’s net asset value. This is paid irrespective of how the fund performs.
- The hedge fund managers also charge an incentive fee of 20% of profits.
- The fee charged is mentioned as '2/20' which means 2% management fee and 20% of funds profits.
- The fee structure for hedge funds is significantly high compared to mutual funds.

Hedge Funds Fee Structure:



HEDGE FUNDS - Fee Types

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Management Fee

Management Fee :

A management fee is a charge levied by an investment manager for managing an investment fund. The management fee is intended for expenses like

- ✔ Fund Manager Compensation
- ✔ Investor relations (IR) expenses
- ✔ Administration costs of the fund.
- ✔ Usually capped at 2 % max of AUM and Fees are quoted on an annual basis.

Management Fee Calculation:

Multiply the total fee percentage by the total amount invested in the fund. For example, if the fee percentage is 1.25 percent, and your investment is $1,0000, then the fee total will be $125 per year.

HEDGE FUNDS - Fee Types

Performance Fee :

Performance Fee :

The performance fee is also referred to as the incentive fee.
The performance fee is generally set at 20% of the fund's profit.
2 methods used to calculate the performance of the funds – **Measurement period & The high-water mark.**

Measurement period

- Total Portfolio Value (TPV) at the beginning of the measurement period= $10 000 — it will be our High Water Mark
- TPV at the end of the measurement period = $12 000
- Profits = TPV — HWM = 12 000 — 10 000 = $2 000
  Performance Fee in %= 20%
  Performance Fee in $ = 2 000 * 0.2 = $400

HEDGE FUNDS

Hurdle rate

- A hurdle rate is the minimum amount of profit or returns a hedge fund must earn before it can charge an incentive fee.
- A hurdle rate has a similar function. If a hedge fund sets a 5% hurdle rate, for example, it will only collect incentive fees during periods when returns are higher than this amount. If the same fund also has a high-water mark, it cannot collect an incentive fee unless the fund's value is above the high-water mark, and returns are above the hurdle rate.

High-water mark

- A high-water mark is the highest value that an investment fund or account has ever reached.
- Setting a high-water mark is a way to make sure that a hedge fund manager isn't getting paid as much as they would for a high-performing fund if the fund's performance is poor. If the fund is losing money, then the manager has to get it above its high-water mark before receiving a performance bonus.

HEDGE FUNDS

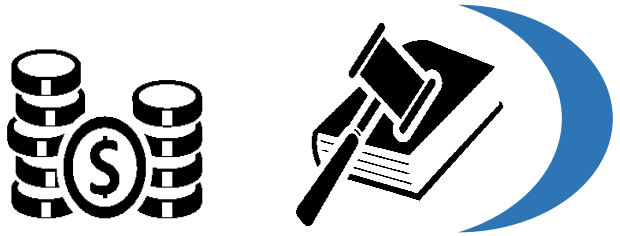
High Water mark fee calculation is based on Investor Capital. Let say Investor A has brought in Capital of 10,000 and Value of Fund Allocated to Investor A is more than 10,000 then only Fund can charge performance fee, anything below investor capital then there will be no performance, Fee.

But Hurdle rate is after certain % of Profit is only Fund will get Performance fee. Let say Hurdle rate is 5%, If the Profit of the fund is more than 5 % then the fund can charge Performance fee. It is also defined on which level performance fee can be calculated, either it can be Profit above 5% then can charge 20% or on the entire Profit they can charge 20%.

Hurdle rate method

- Fund Opening Value - $ 800 mln, Fee Structure – 2:20 (2% of AUM & 20 %on returns)and the fund achieves 40 %,Hurdle Rate – 7 %(Soft))
- Gain - $320 Million, Fund Value (end) – $1120 mln
- Management Fee – 2 % of 1120 mln = $22.4 mln
- Return Net of management fee = $320 mln - $ 22.4 mln = $297.5 mln and since this is higher than hurdle , we will pay performance fee on $297 mln
- Performance Fee – 20 % of($297.6 mln)= $59.52 mln
- Total Fee = 22.4 mln + $59.52 mln = $81.92 mln

Hedge Funds – Regulatory Environment



Hedge Funds are loosely regulated

- Minimum investment requirements
- Marketing restriction to the general public. Only private placements.
- Still regulated by regulators on market manipulation and money laundering

Currently there is a Form PF in US and Form AIFMD in Europe which are regulatory reporting to be done but these do not dictate what Investments Fund has to make or not but rather have a regulatory obligation to report the above.

Hedge Funds – Regulatory Environment

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Regulatory Institutions Impacting the Hedge Fund Industry

Federal & Executive Branch Agencies	U.S. Department of Treasury	Financial Stability Oversight Council (FSOC)	Board of Governors of the Federal Reserve System (FED)
Independent Regulatory Agencies	Commodities Futures Trading Commission (CFTC)	Securities and Exchange Commission (SEC)	
Self Regulatory Organizations	National Futures Association (NFA)	Financial Industry Regulatory Authority (FINRA)	
State Regulatory Agencies	Attorneys General, State Financial Regulatory Agencies, Regulatory oversight covering hedge funds with less than $150 million in AUM		

Hedge Funds – Regulatory Environment

Hedge fund managers are subject to a number of SEC regulations, including:

Mandatory Registration with the SEC

All hedge fund managers with more than $150 million in assets under management (AUM) are required to register with the SEC.

Form PF

For larger managers, this form must be filed on a quarterly basis.

Form ADV

Filed at least annually, providing regulators with information, including:

- Organizational and operational information about the manager and its fund(s).
- Information about the size of the manager and its fund(s).
- Information about the ownership of the manager and its fund(s).
- General data about the manager and its fund(s).
- Identification of parties performing services for the manager and its fund(s), like prime brokers, auditors, custodians, administrators and marketers.

Regulatory Environment - Cayman Islands

Global Hub

The Cayman Islands is the pre-eminent offshore jurisdiction for hedge funds. Around 85 per cent of the world's hedge funds are domiciled in the Cayman Islands.

Regulatory Authority

Cayman Islands Monetary Authority ("CIMA") is the regulatory authority. Funds require a minimum initial investment of US$100k (or equivalent) per investor.

Tax Neutral

The Cayman Islands has no direct taxes of any kind. There are no corporate, capital gains, income, profits or withholding taxes.

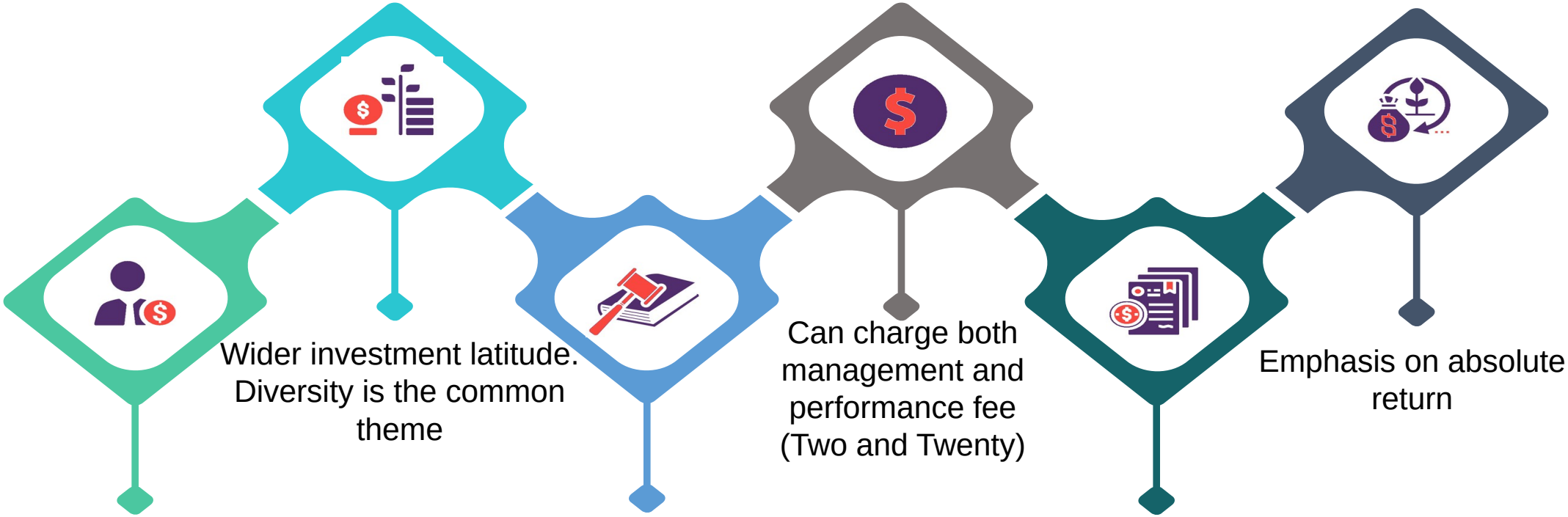
Legal Structures

The legal structures within which Cayman regulated funds can be housed are: companies; LLCs; limited partnerships; and unit trusts.

Why the Cayman Islands?

Tax-neutral platform, stable economy, sophisticated banking sector, confidentiality and professional financial service industry are some of the reasons the location is attractive to hedge fund managers the world over.

Hedge Funds – Summary



Only open to ‘accredited’ or qualified investors

Wider investment latitude. Diversity is the common theme

Differently regulated

Can charge both management and performance fee (Two and Twenty)

Often employ leverage, borrowed money, and derivatives

Emphasis on absolute return



Venture Capital Funds & Features

Venture Capital Funds

- Venture capital funds are pooled investment vehicles that invest in startups in exchange for ownership in those companies. Venture capital is a type of private equity/Unlisted Equity Investment, which means investments are not made available on a public market.
- Venture capital funds earn returns for investors in different ways. Most commonly, a fund will receive returns following a “liquidity event,” such as an initial public offering (IPO) or acquisition from another company. The proceeds will then be distributed among the fund’s investors on a pro rata basis.
- A venture capital fund can now mean many things—from a traditional fund that invests in a portfolio of companies over a 10-year horizon, to a single-deal SPV, to a Rolling Fund that accepts quarterly commitments.
- Venture capital funds typically invest in a number of startups, expecting some to fail, while hoping for a handful of big winners. The typical time horizon for most venture investments is 6-10 years.
- VC Funds raise money from a network of limited partners, who can be wealthy individuals or institutional investors.

Venture Capital Funds Life Cycle

Venture Capital Funds Life Cycle

- Venture capital funds have a long lifetime because it usually takes years for the portfolio companies to exit.
- Venture capital funds are typically structured under the assumption that fund managers will invest in new companies over a period of 2-3 years, deploy all (or nearly all) of the capital in a fund within 5 years, and return capital to investors within 10 years. Venture investments are riskier than other asset classes but also carry the prospect for outsized returns.
- Venture capital funds make money when a portfolio company exits (e.g., via acquisition or IPO), typically within a 10-year timeframe.
- Funds typically split profits between the fund manager (the general partner) and limited partners.
- Many of the world's biggest companies (Alibaba, Alphabet, Apple, Amazon, Facebook, Microsoft, Tencent, and Tesla, etc.) started with funding and advice from venture capitalists (VCs). Venture-backed companies constitute nearly half of IPOs in the U.S.

Different Stage of Venture Capital Investment

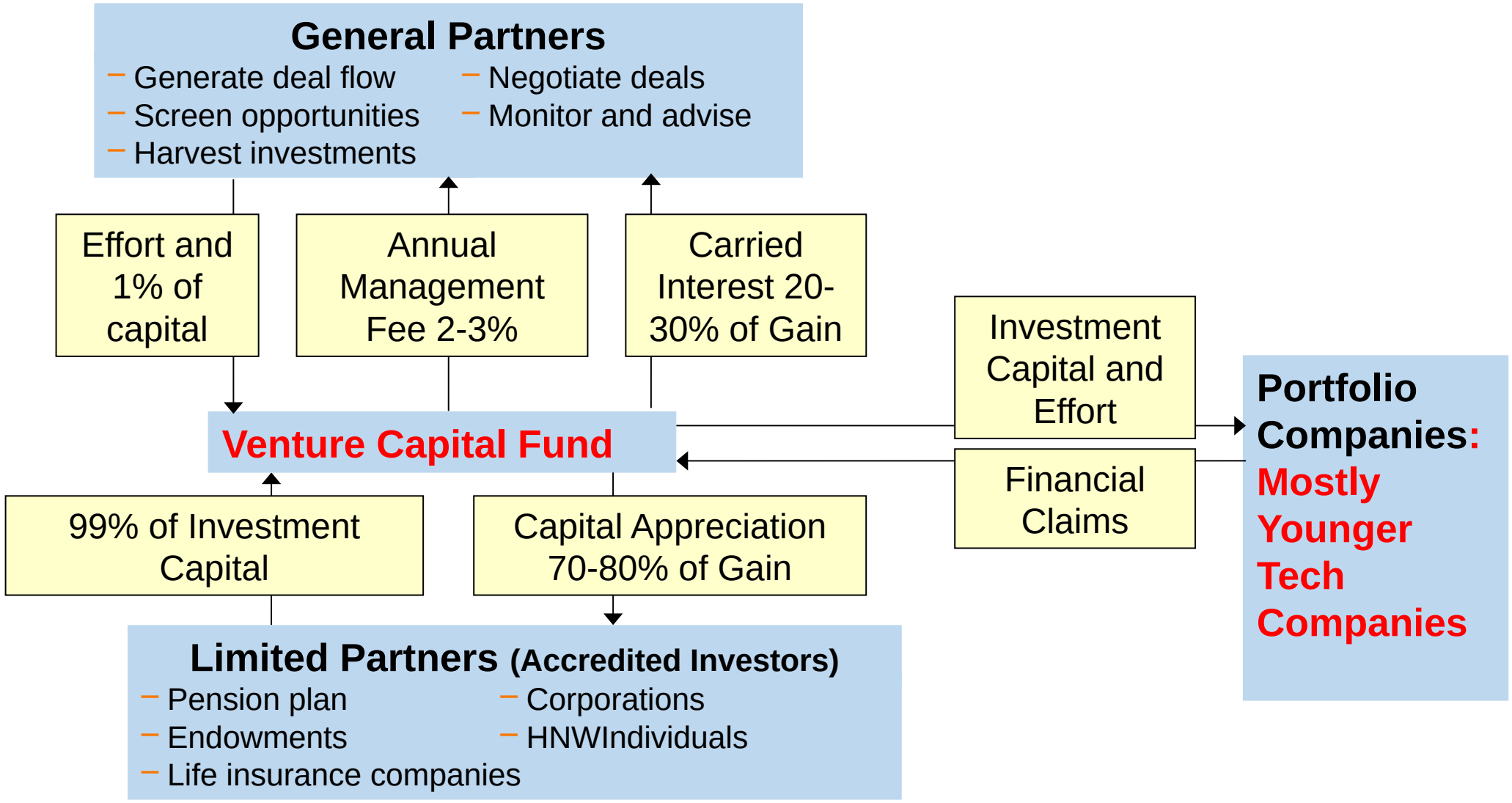
When a startup raises funding, the name of the fundraising round often implies the size/sophistication of the company.

Common round names are:

- Pre-seed
- Seed
- Series A
- Series B
- Series C
- Series D

There’s no hard-and-fast rule for what qualifies as a “seed stage” or “Series D” company. A useful way to think about it is by looking at the average investment sizes for each round name.

Organizational Structure of Venture Capital Investment



Sl No	Venture Capital Fund	AUM	Focus Sector	Firms invested
1.	Andreessen Horowitz	$ 92 Billion	Generalist	Coinbase/Databricks
2.	Sequoia Capital	$ 90 Billion	Tech Startups -	Wiz/Open AI
3.	Insight Partners	$ 90 Billion	Internet	Shopify/Twitter
4.	Tiger Global Asset Mgt	$ 69 Billion	Consumer Tech	Uber/Meta/Waym
5.	General Catalyst	$ 43 Billion	Fintech -	Stripe/Airbnb/Hubspot
6.	Lightspeed Venture Partners	$ 40 Billion	AI/Health Tech	Anthropic/Affirm
7.	Thrive Capital	$ 36 Billion	Internet -	OpenAI/Instagram
8.	Index Ventures (London)	$ 35 Billion	fintech & gaming	Revolut, Figma
9.	New Enterprise Associates (NEA)	$ 28 Billion	Healthcare & Tech	Uber/Salesforce
10.	Bessemer Venture Partners	$ 25 Billion	SaaS/Cyber Sec	Shopify, LinkedIn

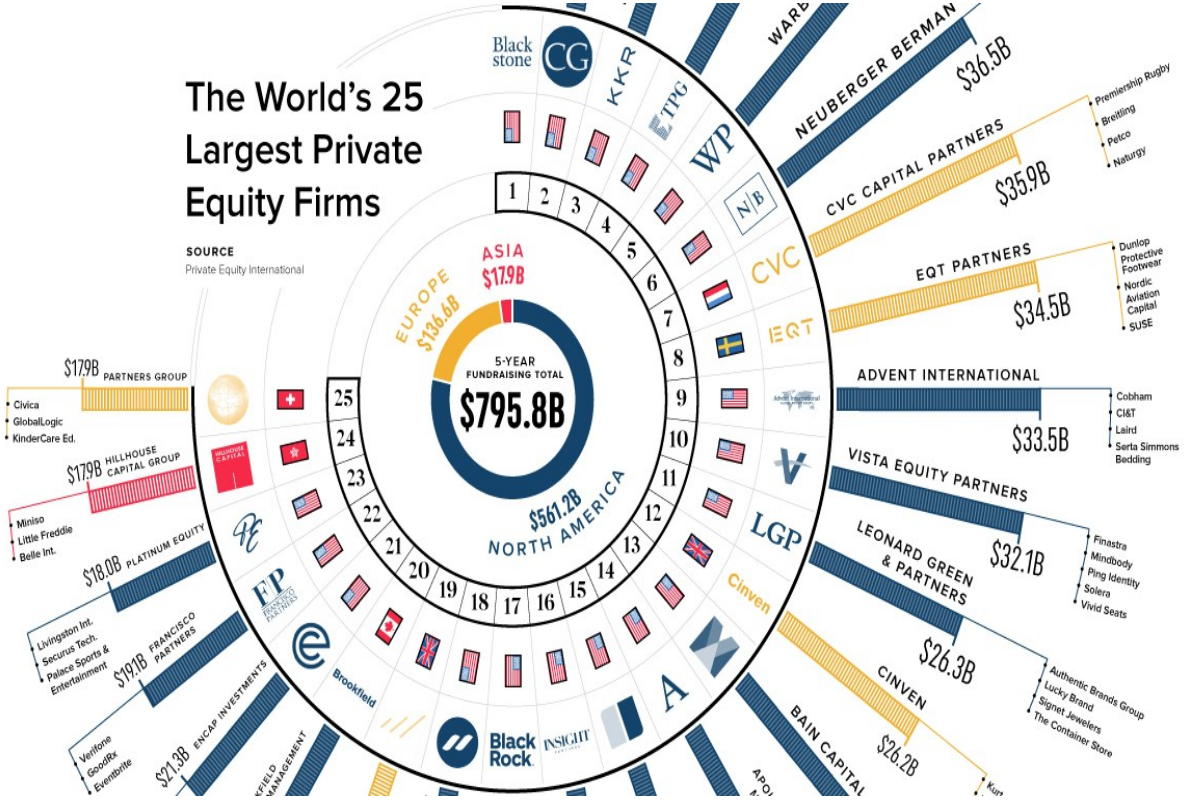


Private Equity Funds & Features

Alternative Investments - Private Equity Funds

Private Equity Fund (PEF)

- Partnerships of qualifying individual investors or groups (up to 100 qualifying individual investors)
- Include venture capital funds, as well as buying-out funds
- Mainly institutional investors
- To gain a long-term interest in companies
- Participate in the control or management of an enterprise for a specified period to enhance its value



Private Equity Investment

Investment in non-publicly traded companies

Investors' money locked up for long periods



Sell the holdings in an initial public offering or to a strategic buyer or in a merger

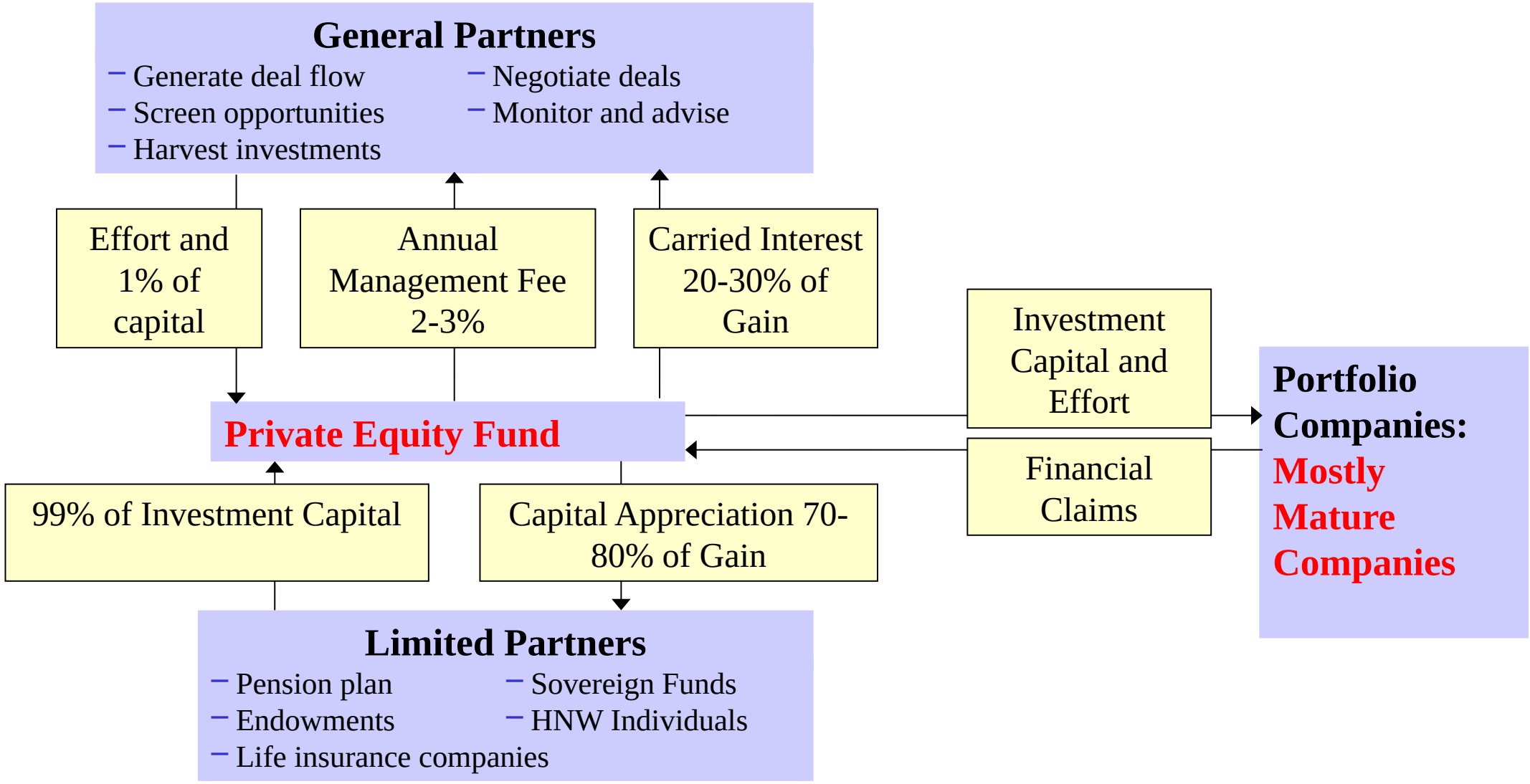
Can be either venture capital or traditional private equity

TOP GLOBAL PRIVATE EQUITY FUNDS

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2026 PEI 300 rank	Firm	Headquarters	Five-year fundraising total ($m)
1	KKR	New York City	140,363
2	EQT AB	Stockholm	134,393
3	Blackstone	New York City	111,797
4	TPG	San Francisco	88,163
5	Thoma Bravo	Chicago	71,855
6	Hg	London	70,245
7	Bain Capital	Boston	60,367
8	General Atlantic	New York City	59,496
9	Advent International	Boston	59,280
10	Goldman Sachs Alternatives	New York City	58,661
11	Clayton, Dubilier & Rice	New York City	49,536
12	CVC Capital Partners	Luxembourg France	49,471
13	Hellman & Friedman	San Francisco	49,006
14	Warburg Pincus	New York City	48,350
15	Clearlake Capital Group	Santa Monica, California	42,450

Organizational Structure of Private Equity Investment





Private Equity Funds - Stages

Private Equity Fund Lifecycle: 5 Key Stages

A Private Equity fund usually lasts about 8 to10 years. It goes through 5 main stages, like a journey from raising money to making profits.

Stage-1: Fundraising (Year 0–1)

1. Getting the money together
2. The GP (General Partner) talks to investors (LPs - Limited Partners) and asks them to invest money.
3. LPs agree to invest a certain amount, but they don’t give all the money at once - they promise to provide it when needed.
4. Once enough money is committed, the funds officially “closed”

Stage-2: Sourcing & Investing (Years 1–5) i.e Buying/Investing in companies equity

1. The GP looks for good companies to buy - usually private (not on the stock market).
2. Each time they find a company, they call (ask) LPs for some money to make the deal.
3. The fund may buy 5–10 companies during this time.

Private Equity Fund Lifecycle: 5 Key Stages

Step-3 : Managing & Growing (Years 1–7)

The GP works to improve the investment in companies by taking participation in management of the company to

1. Fix problems
2. Grow sales
3. Cut costs
4. Add new products or markets

Step-4: Exiting / Selling (Years 4–10)

Selling companies for profit

1. The GP starts to sell the companies one by one.
2. Sales can happen by:
3. Selling to another company
4. Selling to another investor
5. Listing the company on the stock market
6. (IPO)
7. After each sale, capital & profits are returned to the LPs, and the GP gets a share too.

Step-5: Winding Down (Around Year 10)

Closing the fund

1. Once all Investment in companies have been sold & all profits have been shared.
2. The fund is now closed and complete.

Limited Partnership Agreement

The terms LPA (Limited Partnership Agreement) and PPM (Private Placement Memorandum) are often used in private equity, venture capital, and similar investment fund contexts, but they serve different purposes.

Definition and Purpose of LPA: A legal document that outlines the terms, conditions, rights, and obligations of the partnership between the general partner (GP) and limited partners (LPs) in a private equity or similar investment fund.

- **Purpose:** To serve as the binding contract governing the fund's operations. A legally binding contract between the GP & LPs and enforceable in a court of law and it is shared only with investors who have already committed to the fund and provided to prospective investors during the fundraising phase.

- **Key Components**
  - ✓ Governance of the fund (roles of GP and LPs).
  - ✓ Capital commitment and contribution terms.
  - ✓ Distribution waterfalls and profit allocation.
  - ✓ Management fees and carried interest.
  - ✓ Voting rights and decision-making processes.
  - ✓ Restrictions on investments and fund operations.
  - ✓ Termination and dissolution clauses.

Private Placement Memorandum

Definition & Purpose of PPM (Private Placement Memorandum): A disclosure document provided to potential investors during the fundraising phase of a private equity or hedge fund. It describes the fund's objectives, strategies, risks, and terms of investment.

Purpose: To inform and persuade prospective investors to commit capital, ensuring compliance with securities laws. A non-binding informational document & primarily serves to comply with regulatory requirements and to inform investors. This document is distributed before the LPA during the fundraising stage to solicit investor commitments.

Components of PPM:

- - Executive summary and fund overview.
- - Investment strategy and objectives.
- - Market analysis and opportunities.
- - Risks associated with the fund.
- - Key terms (fees, minimum investment, lock-up periods).
- - Legal and tax disclosures.
- - Biographies of key team members.



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THANK YOU !!!

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